

lessly move funds throughout the world.

Any organised international activity is ultimately dependent on the international financial system. This dependence by terrorist groups also provides vulnerabilities in the form of an evidentiary trail from those who commit the crimes to those who plan and support it. So following the money actually identifies people and helps understand how these organisations work and ultimately dismantles them.

Earlier finance ministries used to focus on the safety and soundness of international financial systems exclusively. Now they focus on safety and security of the international financial system. They identify close vulnerabilities in the system and disrupt the networks that terrorist organisations are using.

The primary activity of any terrorist organisation is fund-raising. A ranking Al Qaeda leader recently called funding 'the mainstay of

jihad'. Transparency is the key to closing vulnerabilities in the international financing system that allows terrorist organisations to move money around the world and to raise funds and finance their nefarious activities through charities. In this region, there is hawala which is not transparent. This is what makes it attractive to terrorist organisations. We are working to extend affordable financial services to communities and attempting to register money service business like hawala.

The financial system is constantly updating itself to defend from misuse. The offence side—identifying financial networks, disrupting them and shutting them down—relies on international cooperation. UN Security Council resolution 1267 imposes sanctions on Osama bin Laden, Taliban and Al Qaeda. This resolution was part of the international response to the recent terrorist attacks in India where sanctions were imposed on JUD, a front for the LeT.

The final area of international cooperation is the financial action task force, a collection of the largest financial centres in the world who articulate global standards for combating money-laundering and fighting terrorist financing. India is seeking membership to become part of the global discussion on steps to defend us from this threat.

REUBEN SINGH



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DISCUSSION

Q. During the 7/11 bombings there were simultaneous simulated wargame exercises taking place at the exact same time at the exact same location. This also happened earlier in 9/11 when there were numerous wargames involving hijacked planes. Do you believe that this leads to confusion and also delays the response of the authorities? And if so why weren't they investigated?

Clarke: The weekend before the July attacks in London, the Anti-Terrorist Branch went away to conduct a tabletop paper exercise on the worst scenario we could imagine—multiple attacks on the London

underground. And throughout that weekend we worked through where we thought our vulnerabilities would be and we didn't have time to implement. We discovered by the following Thursday that at least we knew by then that when it happened where we would likely be under pressure. We did not have the faintest idea we were going to be attacked that following Thursday. All we were doing was trying to prepare. Does it cause confusion by having exercises? I think it would be a gross dereliction of our duty if we were not to prepare and have exercises. And not to have exercises because it might be that we are thinking along

the same lines as the terrorists I think is unthinkable. Those exercises actually enhanced the response to the tragedy.

Q. Why do you believe there has not been a subway attack in the United States yet?

Glaser: There are so many different targets of opportunity for terrorist organisations, I suppose you might ask why we haven't faced all sorts of attacks. We faced a very serious attack on 9/11 involving airplanes and there have been many attempts to attack all sorts of targets instead. We have foiled many attacks and many of these are still going on and God willing we will

continue to be successful in preventing them. But, I don't know why there hasn't been that particular type of attack as opposed to any other kind of attack as there is certainly a lot of areas for terrorists to choose from.

Ajit Doval: I think we had wonderful insights, from Peter Clarke and Daniel Glaser. I feel coordination presupposes that there is more than one variable at work and there is a third agency which will be bringing all these diverse things together. What we should be talking now is not coordination but convergence by which the system is controlled and automated.